

Productive efficiency	Productivity	• explain what is meant by productivity • calculate measures of productivity • evaluate the impact and importance of productivity for a business and its stakeholders • recommend and justify methods to improve productivity in a business.
	Capacity utilisation and management	• explain what is meant by capacity utilisation • explain what is meant by capacity management • evaluate the importance of capacity utilisation to a business and its stakeholders • evaluate the importance of capacity management to a business and its stakeholders.
	Added value	• explain what is meant by added value • explain how added value can be calculated • calculate added value • evaluate the usefulness of added value to a business and its stakeholders.
	Economies and diseconomies of scale	• explain what is meant by economies of scale and diseconomies of scale; internal and external • explain types of internal economies of scale, internal diseconomies of scale, external economies of scale and external diseconomies of scale • evaluate the costs and benefits to a business from internal and external economies and diseconomies of scale.
	Stock control	• explain what is meant by stock control • explain methods of stock control including stock control charts, just in time (JIT), kanban, fixed reorder stock level, fixed time reordering, economic order quantity and electronic methods of stock control • construct, calculate and interpret stock control charts, buffer stock, reorder level and quantities and lead time • evaluate the impact and importance of holding and controlling stock for a business and its stakeholders • evaluate the relationship between stock control and methods of production in a business.